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The female investor

When comparing those who identify as women and those who identify as men, in the stock market the average female investor makes more gains than men. They also lose less money than men. A 2021 Fidelity study analysed over 5 million investors and found that the women made 0.4 per cent better returns than the men. Now 0.4 per cent may not sound like a lot, but remember that beautiful concept of compound interest? These small gains compound over time.

This is also seen in the professional sphere: a 2021 study by Goldman Sachs (reported by *Forbes*) found that 48 per cent of female-managed hedge funds beat the market in 2020, while only 38 per cent of male-managed funds did the same. See figure 9.1 (overleaf).

While we are better investors, only four in 10 women investors are comfortable with their investing knowledge.

We're better investors when we do invest, but in general don't feel comfortable to begin investing. What is the gap?

It's a lack of knowledge. Specifically, a knowledge of investing strategies. Understanding what a stock or a bond is may be one half of the equation, but what about the strategies used by everyday female investors that give them a leg up? What are they doing differently?